



WILL HE, OR won't he? This seems to be the key question being asked around the world as Donald Trump stages a comeback to the White House as the 47th President of the US. Trump has vowed to raise tariffs on imports into the US as part of his plan to rebuild the American economy as the world's greatest one, leaving policymakers and industry on edge around the planet.

Trump's proposals on tariffs, which were a part of his election campaign for the presidency, aim to lower corporate tax rates for companies manufacturing in the US to 15% from the current 21%; he also plans to hike tariffs by as much as 60-100% on Chinese imports into the country. For imports from other countries, Trump intends to raise tariffs by 10-20%. These tariff actions could upend global trade and fuel inflation and tighten monetary policy across the US and the world, even if they may boost the American economy in the short run.

INDIA-US TRADE

48 | For now, India seems to have been spared. Trump has pledged higher tariffs on three of the US's largest trading partners—Canada, Mexico and China. He has promised to impose a 25% tariff on imports from Canada and Mexico until they checked drugs and migrants crossing over to the US. Plus, he has vowed to impose an additional tariff of 10% on imports from China. Mexico and Canada are reviewing the announcement.

In India, the government is closely monitoring the developments in the US to assess the impact of any such move on the domestic economy that is in the midst of a slowdown, and exports that seemed to have picked up pace only recently. While trade between India and the US has grown steadily over the years, the relations between the two countries have been rocky at times, with numerous disputes taken up at the World Trade Organization and demands by Washington—to lower tariffs and provide more market access—that have often not been accepted by New Delhi.

India's Commerce Secretary Sunil Barthwal has, however, pointed out that trade between India and the US has grown over the course of four US presidencies, indicating greater economic integration of the two countries. "India's exports to the US have grown steadily between 2001 and 2023, which coincides with the tenure of four US Presidents," he said at a monthly press briefing on November 14 when asked about the impact of the US presidential elections on trade with

India. "Whatever may be the presidency, we are integrating our value chains with the US, the way we are integrating the two economies through various agreements, including the Indo-Pacific Economic Framework for Prosperity (IPEF) and bilateral mechanisms. We are able to have sustained growth in terms of our share with the US," Barthwal said, adding that he expects this integration to continue growing.

According to commerce ministry data, America's imports from India rose from \$9.7 billion in 2001 to \$87.3 billion in 2023. India's share in the US's imports increased from 0.9% in 2001 to 2.8% in 2023. In the same period, US imports from India increased by a CAGR of 10.48%, compared with a 4.76% rise in imports from the rest of the world to America.

The US remains India's top trading partner, with more than \$190 billion in trade; India also serves as a base for major US tech firms like Google, Amazon, and Apple. And India's IT sector relies on the US for 80% of its export revenue.

REBUILDING

TRUMP'S TECH STRATEGY

CRYPTO The Trump administration is seen to be crypto-friendly with Tesla chief and Trump ally Elon Musk also a Dogecoin supporter

ARTIFICIAL INTELLIGENCE Trump could review the US policy on AI as he plans to take on China and is likely to repeal President Biden's Executive Order on AI that set safety and privacy standards

ELECTRIC VEHICLES Questions remain about Trump's policies on EVs as he had previously vowed to roll back subsidies on these vehicles but Musk remains his close ally

LAPTOP IMPORT POLICY India may have to review its current system of laptop import that was changed after criticism from several countries, including the US